

Characteristic	Discussion
Breakout direction, confirmation	Breakout is downward, by definition, when price closes below the lower of the two pipe spikes. When price breaks out downward, it confirms the pattern as a valid pipe top.

Appearance. Pipes are easy to spot on the weekly charts, and they are plentiful. Look for two adjacent upward price spikes like that shown in the figure.

Weekly chart. Pipes appear on any timeframe, but they perform better on the weekly charts. I suggest you confine your searches to those.

Two upward adjacent spikes. The two spikes in a pipe should be consecutive weeks, looking like railroad tracks, a set of parallel price bars. Look for unusually tall price spikes, ones that are taller than many other spikes during the prior year. You want the pipe to stand out.

Volume. We'll see in the Statistics section that volume trends downward. That means the left spike will often have higher volume than the right. Volume will be above the 1-month average on at least one of the spikes 86% of the time.

Breakout direction, confirmation. Pipes break out downward when price closes below the bottom of the pattern (below the lowest pipe spike). If the breakout is upward, then you don't have a valid pipe top.

Always wait for price to confirm the pattern, that is, to break out downward. Never trade an unconfirmed pipe.

If you look at enough pipe tops, you will discover that many form as part of an upward retrace during a downward trend such as that shown in the figure.

The twin highs of the pipe are just 13 cents apart and are well above the surrounding weeks. Except for the spike in mid-March, the price spikes are unusually tall when compared with other spikes throughout the prior year. Since the pipe spikes both share the same low price, the two spikes exhibit a large price overlap, but the amount of overlap isn't critical.